



**PIVOTBOSS
MASTERS**

CORE ANALYSIS

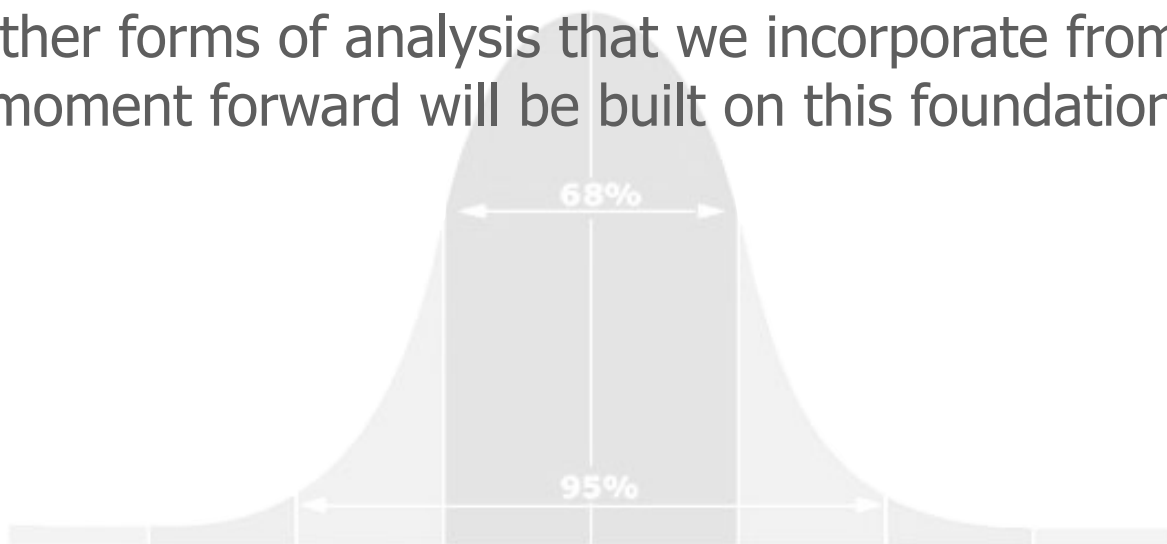
**INTRODUCTION
TO VOLUME PROFILING**

INTRODUCTION TO VOLUME PROFILING

We will use Volume Profiling as our analytical foundation to help us execute our core trading methodology of Auction Market Theory.

Volume Profiling allows us to literally see the auction process live and in its truest form — through price and volume.

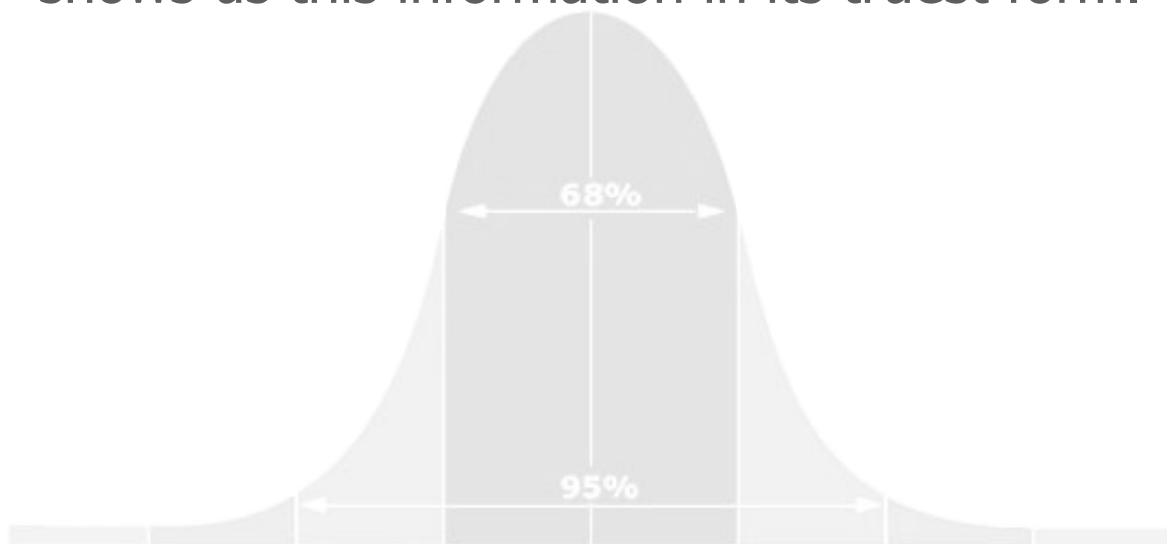
All other forms of analysis that we incorporate from this moment forward will be built on this foundation.



INTRODUCTION TO VOLUME PROFILING

The volume that is traded at a price in any given period is independent of time. All that matters in the auction is price and volume, as these are the two unfiltered determinants of fair and unfair pricing.

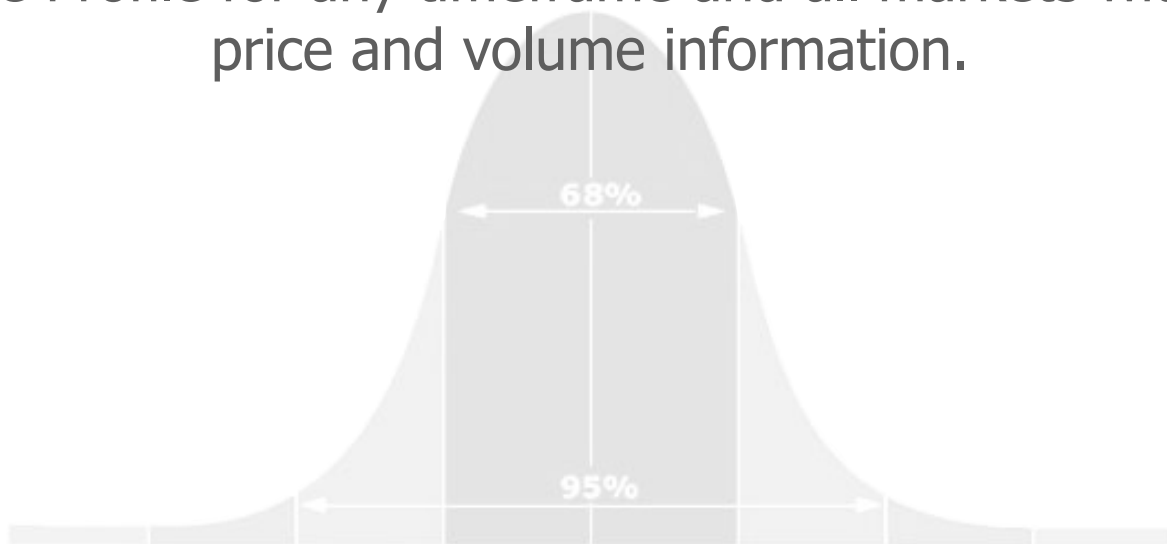
Price moves from rejection (unfair prices) into acceptance (fair prices), and then back to rejection. The Volume Profile shows us this information in its truest form.



INTRODUCTION TO VOLUME PROFILING

Our primary goal as traders is to identify value first and foremost. Once value (acceptance) is identified, we focus on finding unfair price extremes (rejection) and look to return the market back to fair pricing (value) when the market falls out of balance.

These goals can be accomplished through the use of the Volume Profile for any timeframe and all markets with valid price and volume information.

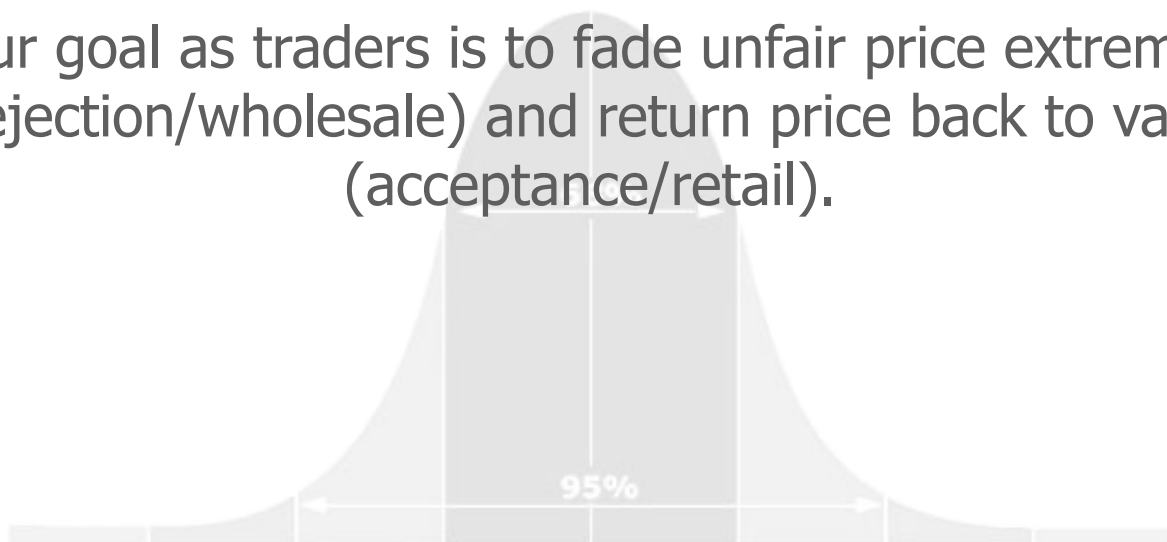


INTRODUCTION TO VOLUME PROFILING

Value is solely determined by Volume. The price where the most volume occurred is considered fair value among market participants.

The more time spent at a price means more volume generated, and wider acceptance offers balance and fair facilitation of trade between buyers and sellers.

Our goal as traders is to fade unfair price extremes (rejection/wholesale) and return price back to value (acceptance/retail).

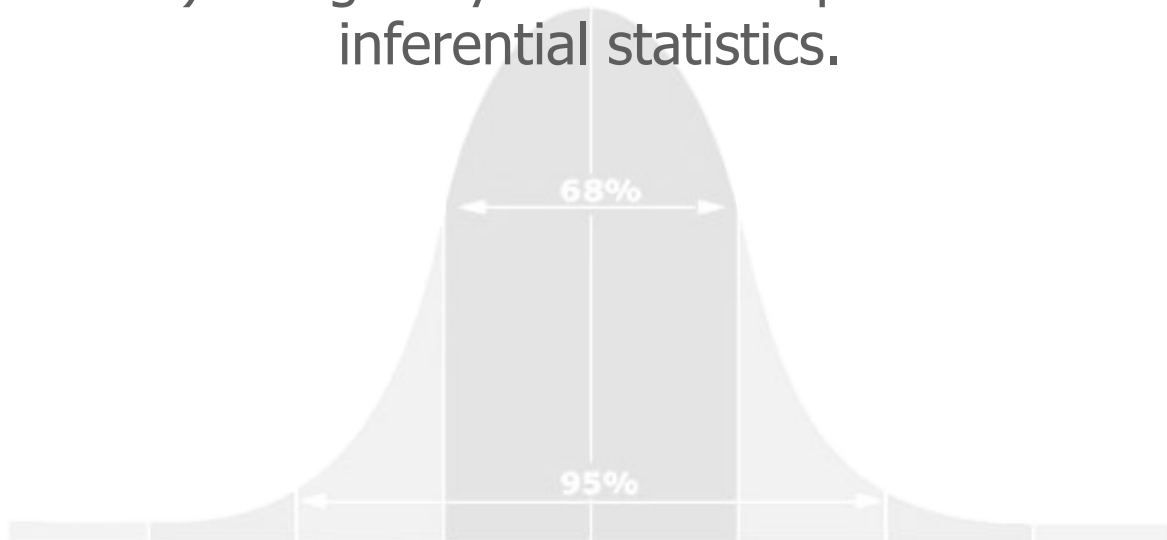


INTRODUCTION TO VOLUME PROFILING

Inferential statistics is the process of drawing conclusions based on data that are subject to random variation.

Inferential statistics is used to test hypotheses and make estimations or forecasts using sample data.

The normal distribution (also Gaussian, or 'bell curve') is arguably the most important concept in inferential statistics.

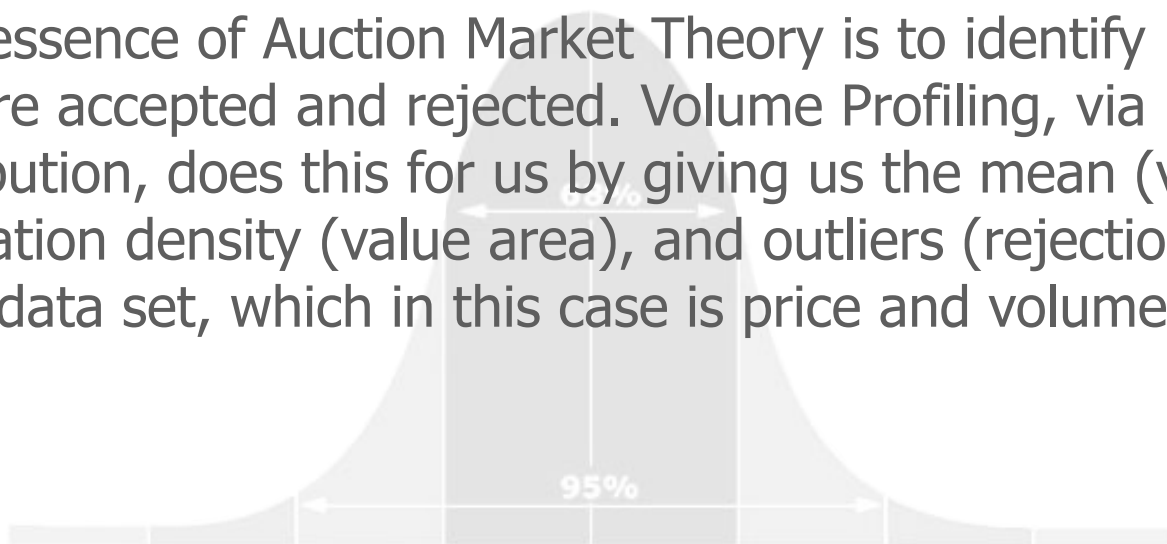


INTRODUCTION TO VOLUME PROFILING

The normal distribution organizes data along a bell-shaped curve, which provides important statistical data points, including the mean, population density, and the outliers of a given data set.

It is the normal distribution that ties Volume Profiling to our core trading methodology of Auction Market Theory.

The essence of Auction Market Theory is to identify prices that are accepted and rejected. Volume Profiling, via normal distribution, does this for us by giving us the mean (value), population density (value area), and outliers (rejection) of a data set, which in this case is price and volume.

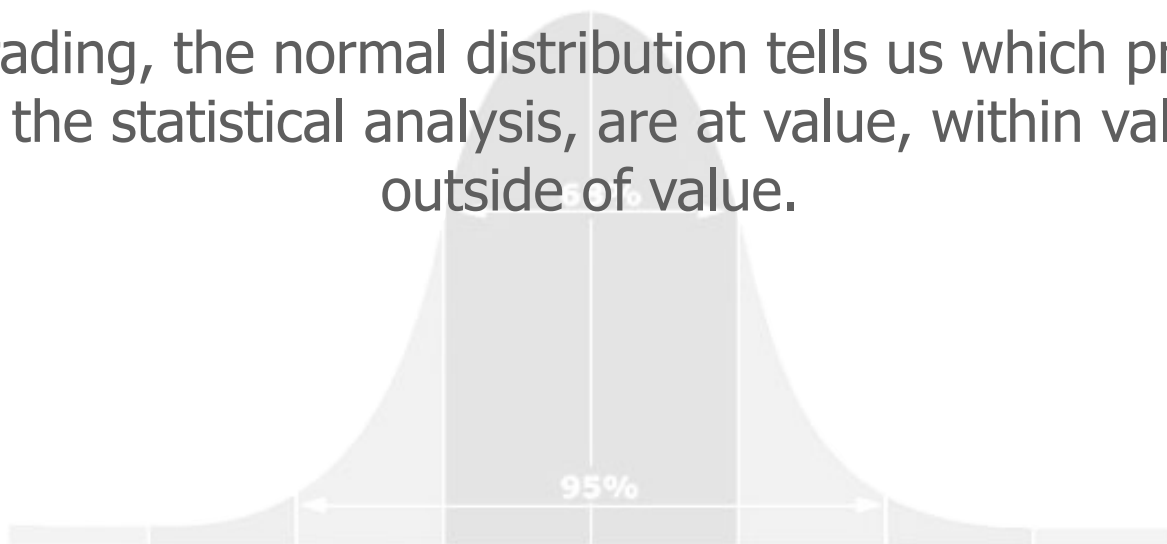


INTRODUCTION TO VOLUME PROFILING

A normal distribution is a commonly occurring continuous probability distribution, which means its cumulative distribution is absolutely continuous.

Normal distributions are used throughout our lives to interpret data, from the distribution of grades on a test to a population's height or weight.

In trading, the normal distribution tells us which prices, given the statistical analysis, are at value, within value, or outside of value.

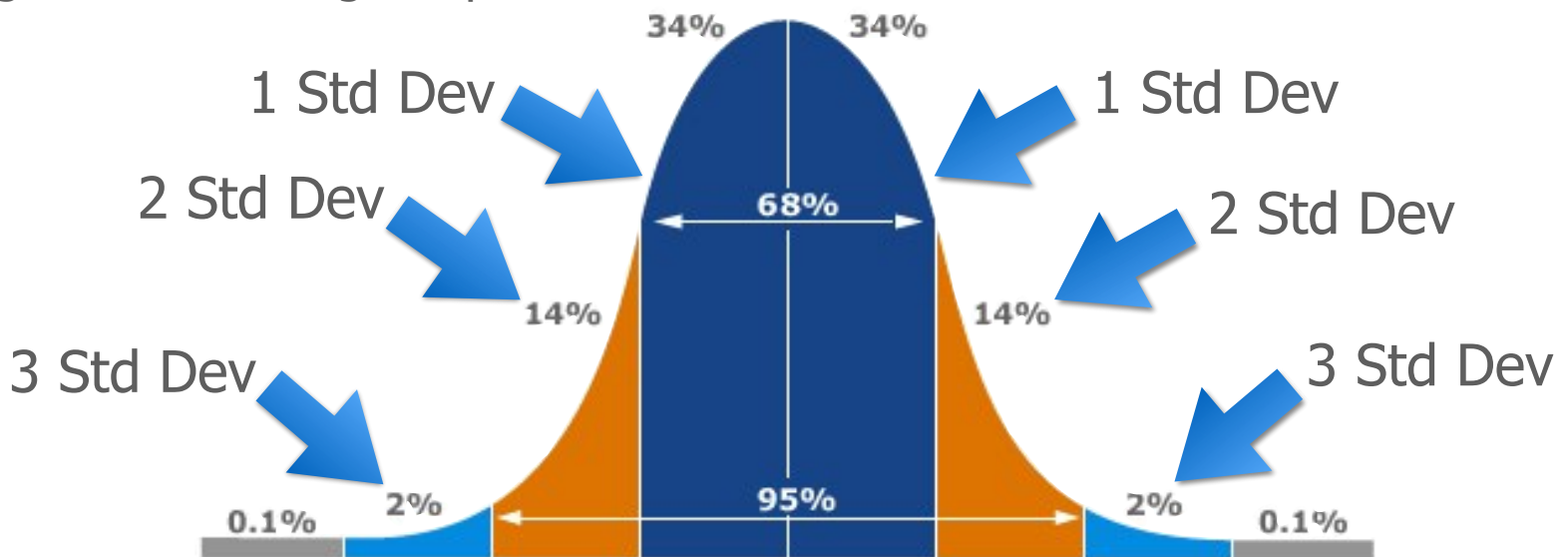


INTRODUCTION TO VOLUME PROFILING

A normal distribution is symmetrical and takes the shape of a bell, with mirror images on either side of a single peak.

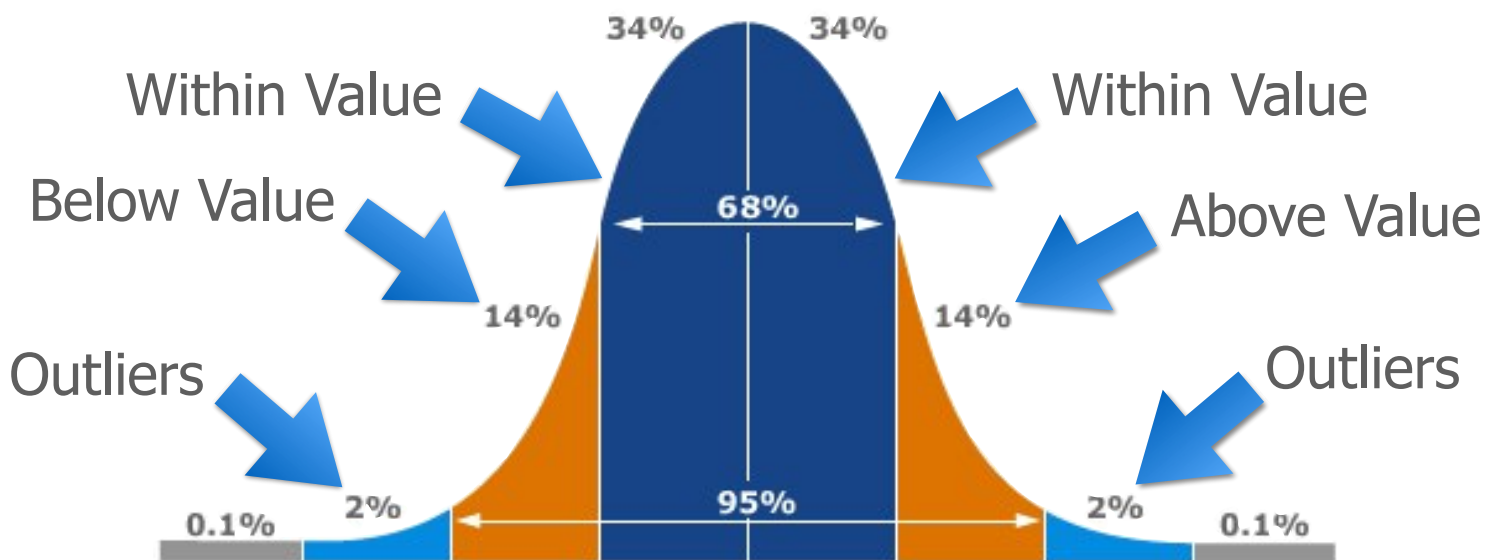
For our purposes in trading, the peak of the bell is value, which is the price where the most volume was generated for a given period of time.

1. 68% of prices fall within 1 standard deviation of value
2. 95% of prices fall within 2 standard deviations of value
3. 99.7% of prices fall within 3 standard deviations of value



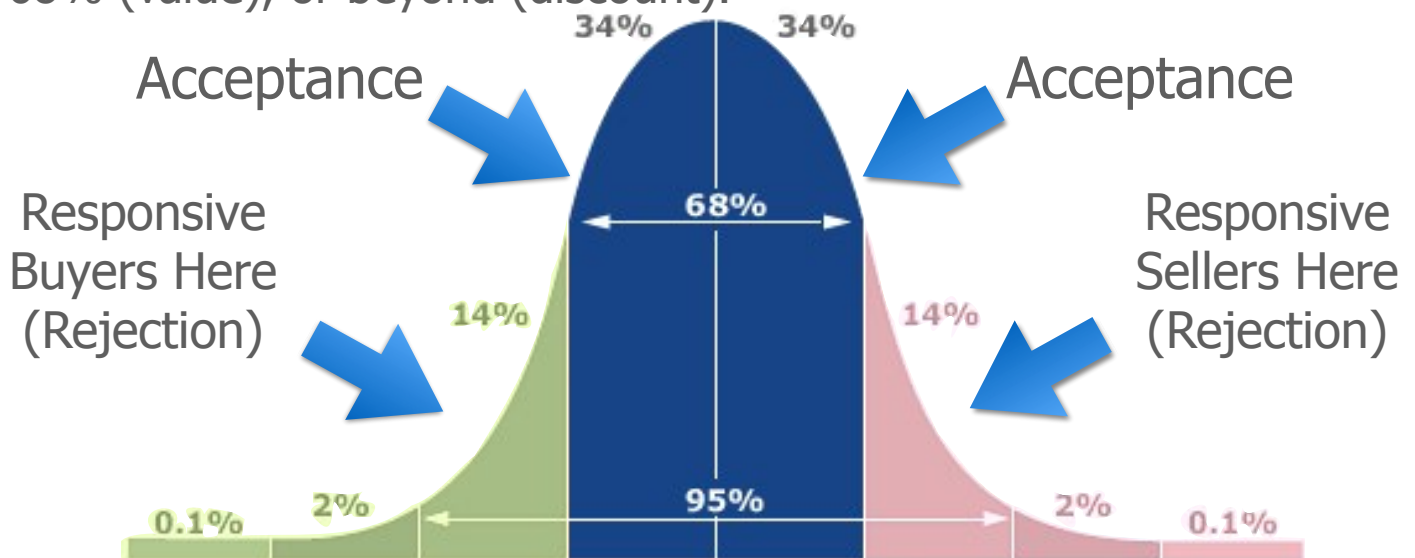
INTRODUCTION TO VOLUME PROFILING

1. Value is the peak of the bell.
2. 68% of prices are considered within value.
3. 16% of prices are considered above value.
4. 16% of prices are considered below value.
5. 5% of all prices fall outside of 2 standard deviations (outliers).



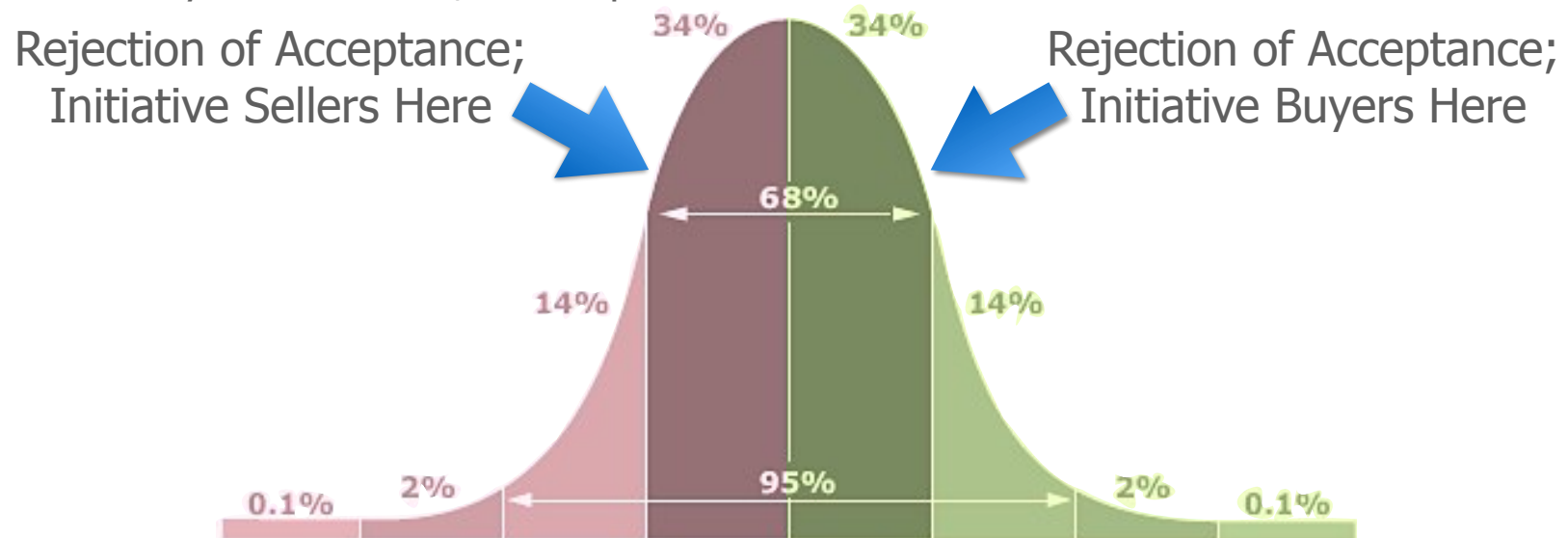
INTRODUCTION TO VOLUME PROFILING

1. Auction Market Theory guides us to enter the market outside of value (rejection/wholesale) and return price back to value (acceptance/retail).
2. According to AMT, responsive participants buy in the bottom 16% of the price distribution curve (discount), and hand it off to retail in the upper 68% (value), or beyond (premium).
3. According to AMT, responsive participants sell in the top 16% of the price distribution curve (premium), and hand it off to retail in the lower 68% (value), or beyond (discount).

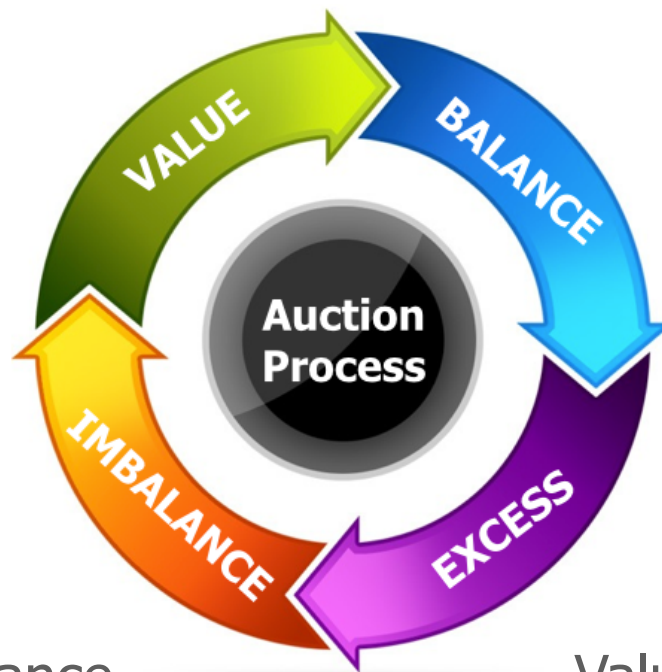


INTRODUCTION TO VOLUME PROFILING

1. Auction Market Theory also guides that should price push through a rejection point, the market is likely out of balance and has transitioned to a price discovery phase, seeking new or prior value.
2. According to AMT, initiative participants buy above value in the upper 50% of the price distribution curve and look to hand it off at higher prices, perhaps at newly created value, or at a prior area of value.
3. According to AMT, initiative participants sell below value in the lower 50% of the price distribution curve and look to hand it off at lower prices, perhaps at newly created value, or at a prior area of value.



INTRODUCTION TO VOLUME PROFILING

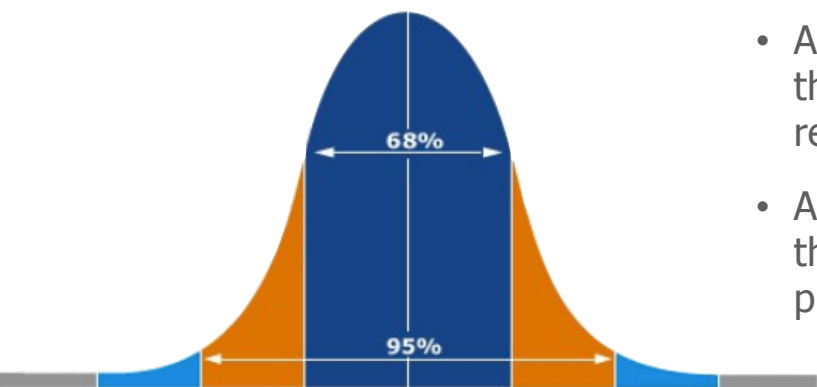


Value/Balance

Value/Balance



INTRODUCTION TO VOLUME PROFILING



- Volume Profiling allows us to execute our core trading methodology of Auction Market Theory
- We use Volume Profiling to help us determine fair and unfair pricing according to the normal distribution curve
- Volume Profiling allows us to see the market's auction process live and unfiltered
- 68% of the profile is within value; balance
- Rejection occurs in the 16% of prices above, and below, value
- As responsive participants, you look to enter the market outside of value, and look to return price back to value
- As initiative participants, you look to enter the market outside value in search of new, or prior value, thus rejecting current value



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